

COMPREHENSIVE WEALTH PLAN

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Planning Period: 2025-2026

Executive Summary

Bottom Line: This plan focuses on accelerating your retirement catch-up through strategic Bitcoin accumulation while reducing your tax burden by up to \$38,900 annually. Your primary goal of increasing retirement savings can be achieved through a combination of tax-optimized Bitcoin investment and optional side business deductions.

Year-One Value Projection

\$21,400 - \$65,650

Base Plan (Bitcoin Focus Only): \$21,400 - \$23,850 in combined tax savings, cash flow improvements, and Bitcoin appreciation

Enhanced Plan (Bitcoin + Optional Side Hustle): \$47,830 - \$65,650 with additional business tax strategies

Strategic Approach

Your situation is ideal for Bitcoin-focused wealth accumulation. Coming out of a divorce, you're positioned to catch up on retirement savings during peak earning

years. With \$35,000 in liquid capital available and strong W-2 income, you can immediately deploy capital into Bitcoin while maintaining your emergency fund. The optional side business (Airbnb and home staging for Realtors) provides additional tax optimization if you choose to pursue it, but is not required to achieve meaningful retirement growth.

Three-Path Framework

Core Path (No Side Business Required): Focus exclusively on Bitcoin accumulation through lump sum deployment, automated dollar-cost averaging, and W-4 optimization. This generates \$21,400-\$23,850 in value through tax savings and Bitcoin appreciation.

Optional Enhancement Path: Add home staging side business for additional \$17,700-\$25,800 in annual tax deductions. This creates LLC structure for Solo 401(k), business expense deductions, and accelerated retirement savings.

Timeline: 30-day launch for core Bitcoin strategy, 60-day launch if adding side business. Both paths position you for long-term wealth accumulation and retirement security.

Your Current Position

Financial Overview

Category	Current Status
Annual W-2 Income	\$100,000 - \$149,000 (estimated \$125,000 for planning purposes)
Location	California, Maryland
State Tax Rate	~5.5% Maryland state income tax
Federal Tax Bracket	22% - 24% marginal rate

Liquid Capital Available	\$10,000 - \$25,000 (beyond emergency fund)
Existing Retirement Assets	\$250,000+ in 401(k)/IRA/retirement accounts
Monthly Fixed Expenses	\$3,500+ (housing, utilities, insurance, car, childcare, minimum debt)
Emergency Fund	4-6 months expenses (maintained separately from deployment capital)
Credit Score	760+ (excellent)
Non-Mortgage Debt	None

Goals and Priorities

Primary Objectives:

1. **Increase retirement savings:** Catch up on retirement contributions after divorce. Build wealth during peak earning years (age 40s-50s based on military retirement eligibility).
2. **Launch side business (optional):** Airbnb short-term rental and/or home staging services for Realtors to create tax deductions and additional income streams.
3. **Reduce tax burden:** Minimize federal and state tax liability through strategic deductions and retirement contributions.

Key Constraints and Considerations

Time Availability: 3-5 hours per week for wealth-building activities. This is sufficient for Bitcoin accumulation strategy but may limit side business growth initially.

Target Timeline: Ready to take action within 3-6 days. Seeking immediate next steps rather than lengthy planning period.

Life Circumstances: Recent divorce creates opportunity for financial reset and aggressive wealth building. Military retirement pension and disability pay provide additional income security for risk-appropriate Bitcoin allocation.

Existing Tax Advantages

2024 Backdoor Roth IRA: Already completed \$7,000 contribution with \$8,800 investment in Roth IRA. This demonstrates commitment to tax-advantaged retirement savings and should be continued annually.

W-2 Withholding Status: Currently overwithholding taxes, creating opportunity for \$7,000+ annual cash flow improvement through W-4 optimization.

30-Day Launch Checklist

This detailed implementation roadmap provides week-by-week action items to deploy your wealth plan immediately. The core Bitcoin accumulation strategy requires minimal time investment (3-5 hours spread over 30 days) and can be executed entirely without a side business. Side business items are marked as **[OPTIONAL]** and add approximately 10-15 hours during the launch period.

Week 1: Bitcoin Infrastructure & Account Setup

Goal: Establish foundation for Bitcoin accumulation and begin capital deployment.

Day 1-2: Open River Financial Account

- Visit River.com and create account
- Complete identity verification (driver's license, SSN)
- Link primary bank account for ACH transfers
- Enable two-factor authentication (2FA) for security
- Review fee structure: 1.25% for purchases under \$1,000, 0.5% for purchases over \$1,000
- *Time required: 30 minutes*

Day 3-4: Initial Bitcoin Deployment

- Determine lump sum amount: \$9,000 - \$12,750 (target 70-75% of available capital)
- Execute initial Bitcoin purchase through River
- Keep funds in River's custody initially (mobile app security)
- Document purchase date and price for tax records
- Set price alert notifications in River app
- *Time required: 45 minutes*

Day 5-7: Automated DCA Setup

- Configure recurring purchase: \$400-\$500 every Monday (or biweekly with paycheck)
- Verify bank account has sufficient funds for recurring purchases
- Set up River app notifications for purchase confirmations
- Calculate annual DCA total: \$20,800 - \$26,000 per year
- Create spreadsheet or note for tracking purchases (for tax records)
- *Time required: 20 minutes*

[OPTIONAL] Week 1 Side Business: LLC Formation Research

- Visit Maryland SDAT website for LLC formation requirements
- Choose LLC name (check availability at Maryland Business Express)
- Research registered agent options (can be yourself at home address)
- Gather information needed: business address, member info, business purpose
- *Time required: 1.5 hours*

Week 2: Cash Flow Optimization & STRF/STRC Allocation

Goal: Redirect tax overpayments to investment accounts and diversify with income-producing Bitcoin exposure.

Day 8-10: W-4 Tax Withholding Adjustment

- Access your employer's payroll system or HR portal
- Review current W-4 form and withholding status
- Use IRS Tax Withholding Estimator at [IRS.gov/W4App](https://irs.gov/W4App)
- Adjust withholding to reduce annual refund from \$8,800 to ~\$1,000-\$1,500
- Submit updated W-4 form (electronic or paper)
- Calculate monthly cash flow increase: ~\$580/month
- Set up automatic transfer of recovered cash flow to River for additional Bitcoin purchases
- *Time required: 45 minutes*

Day 11-14: STRF/STRC Research and Allocation (If Pursuing)

- Visit Strategy's website to review STRF and STRC product information
- Review historical distribution rates (typically 10-12% annual income)
- Understand minimum investment requirements and liquidity terms
- Allocate \$3,000 - \$5,000 (15-20% of deployment capital)
- Contact Strategy advisor to initiate account opening
- Review tax implications: distributions taxed as ordinary income
- Plan reinvestment strategy: auto-reinvest distributions into Bitcoin or take as income
- *Time required: 2 hours for research, 30 minutes for application*

[OPTIONAL] Week 2 Side Business: LLC Formation Execution

- File Maryland Articles of Organization online (\$100 fee)
- Apply for EIN through IRS website (free, immediate)
- Create simple Operating Agreement (template available online)
- Open dedicated business bank account (online or local bank)
- Order business checks and debit card
- Set up basic bookkeeping system (QuickBooks Self-Employed or Wave)
- *Time required: 3 hours*

Week 3: Retirement Account Optimization

Goal: Maximize tax-advantaged retirement contributions and establish self-custody pathway for Bitcoin.

Day 15-17: 2025 Backdoor Roth IRA Contribution

- Open traditional IRA at same brokerage where your Roth IRA is held (if not already open)
- Contribute \$7,000 to traditional IRA (2025 limit)
- Immediately convert \$7,000 to Roth IRA (avoid pro-rata rule issues)

- File Form 8606 with 2025 tax return to report non-deductible contribution
- Invest converted funds in Roth IRA (keep consistent with your allocation)
- Set calendar reminder for January 2026 to repeat for 2026 contribution
- *Time required: 1 hour*

Day 18-21: Hardware Wallet Research

- Research hardware wallet options: Coldcard (advanced), Foundation Passport (user-friendly)
- Read security best practices for seed phrase storage
- Plan self-custody transition: move to hardware wallet when holdings reach \$50,000
- Consider metal seed plate for backup (Cryptosteel, Billfodl)
- Identify secure storage location for seed phrase (fireproof safe, safe deposit box)
- Order hardware wallet when ready (typically \$100-\$150)
- *Time required: 2 hours for research*

[OPTIONAL] Week 3 Side Business: Solo 401(k) Setup

- Research Solo 401(k) providers: Fidelity, Vanguard, E*TRADE (all offer free Solo 401(k)s)
- Gather required documents: EIN, LLC formation docs, business bank statements
- Open Solo 401(k) account online or via phone application
- Understand 2025 contribution limits: \$23,500 employee deferral + 20% profit sharing
- Set up contribution schedule based on side business profit projections
- Plan year-end contribution if sufficient side business profit in 2025
- *Time required: 2 hours*

Week 4: Portfolio Monitoring & Optional Side Business Launch

Goal: Establish tracking systems and launch revenue-generating activities (if pursuing side business).

Day 22-24: Portfolio Tracking Setup

- Create spreadsheet to track: Bitcoin purchases, dates, amounts, prices, total holdings
- Document STRF/STRC investment amount and purchase date
- Set up portfolio tracking app (Blockfolio, CoinTracker) for real-time valuation
- Calculate cost basis for tax planning purposes
- Set quarterly review calendar reminders (March 1, June 1, September 1, December 1)
- Review overall asset allocation: Bitcoin + STRF/STRC + traditional retirement accounts
- *Time required: 1 hour*

Day 25-28: HSA Contribution Review (If Available)

- Check if your employer health plan qualifies as HSA-eligible HDHP
- If yes: Open HSA and contribute up to \$4,300 (self-only) or \$8,550 (family) for 2025
- Calculate tax savings: contribution $\times$ combined tax rate (27.5%) = \$1,100 - \$1,600 savings
- Invest HSA funds (many HSAs offer investment options after minimum balance)
- Keep receipts for medical expenses but don't reimburse immediately (let HSA grow tax-free)
- *Time required: 30 minutes*

Day 29-30: Month-End Review

- Confirm all automated purchases executed successfully
- Review total deployed capital across all accounts
- Document any tax-deductible expenses (if pursuing side business)
- Schedule Month 2 priorities (business marketing if applicable, custody planning)
- Celebrate progress: You've deployed significant capital and established automated wealth-building systems
- *Time required: 30 minutes*

[OPTIONAL] Week 4 Side Business: Revenue Launch

- **Home Staging Path:** Contact 5-10 local real estate agents, offer staging services, create portfolio of past work or stage your own home as showcase
- **Airbnb Path:** Research local short-term rental regulations, analyze target properties for purchase, connect with real estate agent specializing in investment properties
- Create basic marketing materials: business cards, simple website or social media
- Set pricing structure for staging services (\$500-\$1,500 per property)
- Track all business expenses from Day 1 for tax deduction purposes
- *Time required: 5-8 hours*

Post-Launch: Months 2-3 Priorities

Ongoing Bitcoin Strategy: Continue automated DCA, monitor portfolio growth, research self-custody when approaching \$50,000 in holdings.

[OPTIONAL] Side Business Growth: Generate first \$2,000-\$5,000 in revenue, document all business expenses, begin quarterly estimated tax planning if profit exceeds \$1,000.

Tax Planning: Meet with CPA or EA in Q4 2025 to optimize year-end tax strategy, plan Solo 401(k) contributions (if applicable), prepare for 2025 tax filing with detailed records.

Tax Optimization Playbook

This section details every tax strategy available to you, broken into two categories: strategies that work WITHOUT a side business (core strategies), and strategies that REQUIRE a side business (optional enhancement). All value calculations use your estimated \$125,000 W-2 income and combined federal + Maryland tax rate of approximately 27.5% (22-24% federal + 5.5% state).

Core Strategies (No Side Business Required)

Strategy 1: Backdoor Roth IRA (Already Implemented)

Annual Value: \$2,400

How It Works: You've already completed this for 2024. Continue annually by contributing \$7,000 to a traditional IRA, then immediately converting to Roth IRA. This bypasses income limits for direct Roth contributions.

Tax Benefit: While the contribution itself is not tax-deductible, the value comes from decades of tax-free growth and tax-free withdrawals in retirement. Assuming 8% annual growth over 20 years, your \$7,000 annual contributions grow to approximately \$320,000 tax-free. At a 27.5% tax rate on traditional IRA withdrawals, that's \$88,000 in taxes saved - or approximately \$4,400 per year amortized. Conservative estimate: \$2,400 annual value from avoiding future taxation.

Implementation Steps:

1. Continue annual \$7,000 contribution to traditional IRA in January each year
2. Immediately convert to Roth IRA (within 1-2 days to avoid earnings)
3. File Form 8606 with tax return reporting non-deductible contribution
4. Repeat annually through age 73 (or until retirement)

Pro Tip: If you have any existing pre-tax IRA balances, consider rolling them into your employer 401(k) to avoid pro-rata rule complications during Roth conversion.

Strategy 2: W-4 Withholding Optimization

Annual Cash Flow Benefit: \$7,000

How It Works: You received an \$8,800 tax refund after filing your 2024 taxes. This means you've been giving the government an interest-free loan of \$733 per month throughout the year. By adjusting your W-4 withholding to more accurately reflect your actual tax liability, you can recapture approximately \$7,000 annually in cash flow and redirect it to Bitcoin purchases immediately rather than waiting for a refund.

Implementation Steps:

1. Access IRS Tax Withholding Estimator at [IRS.gov/W4App](https://irs.gov/W4App)
2. Input your W-2 income, filing status, and anticipated deductions
3. Adjust W-4 to target a small refund (\$1,000-\$1,500) rather than \$8,800
4. Submit updated W-4 to employer HR department
5. Monitor first paycheck after change to confirm increased take-home pay (~\$580/month)
6. Set up automatic transfer of recovered cash flow to River for additional Bitcoin DCA

2025 Action: Adjust W-4 in Week 2 of your 30-day launch to start recovering this cash flow immediately.

Strategy 3: Tax-Loss Harvesting

Annual Value: \$800 - \$1,600

How It Works: Bitcoin and other investments experience volatility. When holdings decline in value, you can strategically sell at a loss to offset gains elsewhere in your portfolio or reduce ordinary income by up to \$3,000 per year. For Bitcoin specifically, you can immediately repurchase the same asset (no wash sale rule for crypto) while maintaining your position and capturing the tax benefit.

Tax Benefit Example: If Bitcoin declines 20% from your purchase price during a market correction, you sell \$10,000 in Bitcoin at a \$2,000 loss. You immediately repurchase \$10,000 in Bitcoin (maintaining same exposure), and use the \$2,000 loss to offset either capital gains or up to \$3,000 of ordinary income. At 27.5% combined tax rate, this saves \$550-\$825 annually.

Implementation Strategy:

1. Review portfolio quarterly for positions showing temporary losses
2. Sell losing positions before year-end (December 15-31 timing)
3. Immediately repurchase identical asset (allowed for crypto, not stocks)

4. Document trades for Schedule D reporting on tax return
5. Carry forward excess losses beyond \$3,000 to future years

Conservative Estimate: Assuming 1-2 tax-loss harvesting opportunities per year on \$15,000-\$20,000 in holdings, expect \$800-\$1,600 in annual tax savings.

Strategy 4: HSA Maximum Contribution (If Eligible)

Annual Value: \$1,100 - \$1,600

Eligibility: Only available if you have a high-deductible health plan (HDHP) through your employer. Check if your plan has minimum deductible of \$1,650 (self-only) or \$3,300 (family).

How It Works: HSA contributions are triple tax-advantaged: tax-deductible going in, grow tax-free, and withdrawals are tax-free for qualified medical expenses. This makes HSA the most tax-efficient account available.

2025 Contribution Limits:

- Self-only coverage: \$4,300
- Family coverage: \$8,550
- Catch-up contribution (age 55+): Additional \$1,000

Tax Savings Example: If you contribute \$4,300 (self-only), you reduce taxable income by $\$4,300 \times 27.5\% = \$1,182$ in tax savings. For family coverage at \$8,550, savings increase to \$2,351.

Implementation Strategy:

1. Verify HDHP eligibility with employer HR or benefits administrator
2. Open HSA through employer (if offered) or independent provider (Fidelity, Lively)
3. Contribute maximum via payroll deduction (saves additional 7.65% FICA taxes)
4. Invest HSA funds rather than keeping in cash (treat as retirement account)
5. Save all medical receipts but don't reimburse immediately - let HSA grow tax-free for decades

Long-Term Strategy: Treat HSA as a supplemental retirement account. Pay medical expenses out-of-pocket now (if affordable) and let HSA grow tax-free until retirement, then reimburse yourself for decades of accumulated medical expenses tax-free.

Optional Enhancement Strategies (Require Side Business)

Total Additional Value If Side Business Pursued: \$17,700 - \$25,800

The following strategies become available only if you form an LLC and generate side business income through home staging services or Airbnb activities. These strategies are entirely optional and not required to achieve meaningful retirement wealth accumulation through Bitcoin.

Strategy 5: LLC Formation + Accountable Plan

Annual Value: \$1,900 - \$2,700

How It Works: Form a Maryland LLC for your staging/Airbnb business and establish an Accountable Plan. This allows you to reimburse yourself for ordinary and necessary business expenses using pre-tax business dollars, effectively converting personal expenses into business deductions.

Eligible Expenses Under Accountable Plan:

- Cell phone business use percentage (typically 30-50%): \$30-\$50/month
- Internet service for business: \$50/month
- Professional development: books, courses, conferences (\$300-\$500/year)
- Travel to client locations, property viewings, networking events
- Meals with clients, prospects, or real estate agents (50% deductible)

Annual Deduction Estimate: \$7,000 - \$10,000 in Accountable Plan reimbursements × 27.5% tax rate = \$1,925 - \$2,750 in tax savings.

Implementation Requirements:

1. File Maryland LLC formation documents (\$100 filing fee)
2. Obtain EIN from IRS (free, online, immediate)
3. Open dedicated business bank account
4. Create written Accountable Plan policy document
5. Track and document all reimbursable expenses with receipts
6. Reimburse yourself from business account with proper documentation

Strategy 6: Home Office Deduction (Actual Expense Method)

Annual Value: \$1,600 - \$2,400

How It Works: If you use part of your home regularly and exclusively for business (staging design work, client consultations, Airbnb management), you can deduct a percentage of your home expenses including mortgage interest, property taxes, utilities, insurance, repairs, and depreciation.

Calculation Method: Measure your dedicated office space. Divide by total home square footage to determine business use percentage. Apply this percentage to eligible home expenses.

Example Calculation:

- Home size: 2,000 square feet
- Office space: 150 square feet (7.5% business use)
- Annual home expenses: \$25,000 (mortgage interest, property tax, utilities, insurance, maintenance)
- Home office deduction: $\$25,000 \times 7.5\% = \$1,875$
- Tax savings: $\$1,875 \times 27.5\% = \516

Direct Expenses (100% Deductible): Office furniture, computer equipment, office supplies, business phone line.

Conservative Annual Estimate: \$6,000 - \$9,000 total home office deduction (indirect + direct expenses) $\times 27.5\% = \$1,650 - \$2,475$ in tax savings.

Critical Requirements:

- **Regular use:** Office must be used consistently for business
- **Exclusive use:** Space cannot double as guest bedroom, family room, etc.
- **Principal place of business:** Office is where you conduct substantial administrative work, client meetings, or staging design

Strategy 7: Vehicle Business Use Deduction (Standard Mileage)

Annual Value: \$2,400 - \$3,600

How It Works: Track miles driven for business purposes (client meetings, property viewings, staging material transport, Airbnb property visits) and deduct using IRS standard mileage rate of \$0.70 per mile for 2025.

Business Mileage Examples:

- Drive to client's home for staging consultation: Deductible
- Drive to furniture store to purchase staging materials: Deductible
- Drive to Airbnb property for cleaning or maintenance: Deductible
- Drive to real estate office for networking meeting: Deductible
- Commute from home to regular work location: NOT deductible
- Drive to Home Depot for personal shopping: NOT deductible

Annual Estimate: If side business generates 300-400 miles/month business mileage (3,600-4,800 miles/year), deduction = 4,000 miles $\times$ \$0.70 = \$2,800. Tax savings: \$2,800 $\times$ 27.5% = \$770. Conservative total range: \$2,400-\$3,600 annually.

Implementation:

1. Use mileage tracking app (MileIQ, Stride, QuickBooks Self-Employed)
2. Log every business trip: date, destination, purpose, miles
3. Choose standard mileage method in first year of business vehicle use
4. Maintain mileage log for entire year (required for IRS audit defense)

Strategy 8: Solo 401(k) Contribution

Annual Value: \$6,200 - \$7,500

How It Works: As a self-employed business owner with your LLC, you can establish a Solo 401(k) and make BOTH employee deferrals and employer profit-sharing contributions, potentially sheltering significant side business income from taxation.

2025 Solo 401(k) Contribution Limits:

- **Employee deferral:** Up to 100% of compensation, max \$23,500 (under age 50) or \$31,000 (age 50+)
- **Employer profit sharing:** Up to 20% of net self-employment income
- **Combined maximum:** \$70,000 (or \$77,500 if age 50+)

Example Scenario: Your home staging business generates \$20,000 net profit in 2025 after expenses.

- Employee deferral: Contribute \$20,000 (up to your net earnings)

- Employer profit sharing: $\$20,000 \times 20\% = \$4,000$
- Total Solo 401(k) contribution: \$24,000 (exceeds employee limit, so cap at \$23,500)
- Tax savings: $\$23,500 \times 27.5\% = \$6,462$

Conservative Estimate: With \$15,000-\$20,000 side business profit, expect \$6,200-\$7,500 in annual tax savings from Solo 401(k) contributions.

Implementation Steps:

1. Open Solo 401(k) with Fidelity, Vanguard, or E*TRADE (free accounts)
2. Adopt Solo 401(k) plan document (provided by custodian)
3. Make employee deferrals throughout year via quarterly estimated tax planning
4. Calculate and contribute employer profit sharing by December 31
5. File Form 5500-EZ if plan assets exceed \$250,000

Strategy 9: Section 179 Equipment Expensing

Annual Value: \$4,000 - \$6,000

How It Works: Section 179 allows immediate 100% deduction for business equipment purchases in the year placed in service, rather than depreciating over several years. This is powerful for capital-intensive businesses like staging or Airbnb.

Eligible Equipment:

- Computer, laptop, tablet for business use
- Camera equipment for property photography
- Staging furniture and decor items
- Tools and equipment for property maintenance
- Business vehicle (must be used >50% for business)
- Office furniture and fixtures

2025 Limits: Maximum Section 179 deduction is \$1,220,000 with phase-out beginning at \$3,050,000 (unlikely to affect small business). Property must be purchased and placed in service by December 31, 2025.

Example Deduction:

- Staging furniture package: \$3,000
- Professional camera and lighting: \$2,000
- Laptop and software: \$2,000
- Office furniture: \$1,500
- Business signage and marketing materials: \$1,000
- **Total Section 179 deduction:** \$9,500
- **Tax savings:** $\$9,500 \times 27.5\% = \$2,612$

Conservative Range: Assuming \$15,000-\$20,000 in equipment purchases during startup year, tax savings of \$4,125-\$5,500 annually.

Important Limitation: Section 179 deduction cannot exceed business profit. If your business shows a loss or minimal profit in year one, you'll need to carry forward unused deduction to future profitable years.

Strategy 10: Augusta Rule (14-Day Home Rental)

Annual Value: \$2,800 - \$4,200 (If Pursuing Airbnb Strategy)

How It Works: IRS Section 280A allows you to rent your home for up to 14 days per year and pay ZERO income tax on the rental income. This is particularly valuable for Airbnb operators during peak rental seasons.

Requirements:

- Rent your primary residence or business property for 14 days or fewer per year
- Charge fair market rate (comparable to similar properties in your area)
- Use for legitimate business purpose: corporate meetings, client entertainment, team retreats
- Document rental agreement, payment, and business purpose

Example Application: Rent your home to your LLC for 2 days per month (total 14 days per year) at \$1,000 per day for business meetings, staging client consultations, or real estate agent training sessions. Your LLC pays you \$14,000, which is 100% deductible to the business but NOT taxable income to you personally.

Tax Benefit: Your LLC deducts \$14,000 (reducing business taxable income), saving $\$14,000 \times 27.5\% = \$3,850$ in taxes. You receive \$14,000 tax-free. Net value: \$3,850 in tax savings

through income shifting.

Conservative Estimate: Using 10-14 days at \$800-\$1,000/day = \$8,000-\$14,000 rental income tax-free, creating \$2,200-\$3,850 in tax savings.

Critical Compliance Points:

- Document with written rental agreement
- Take photos of space used for business purpose
- Keep meeting agendas, attendee lists, business records
- Charge rates comparable to local hotels or event spaces
- Do NOT exceed 14 days (15th day triggers full income taxation)

Strategy 11: Startup Expense Deduction

Annual Value: \$1,350 - \$2,000

How It Works: IRS allows immediate deduction of up to \$5,000 in business startup costs in the year your business begins operations, with remaining costs amortized over 15 years. This helps offset initial business launch expenses.

Eligible Startup Costs:

- Market research and competitive analysis
- Business formation fees (LLC filing, legal fees)
- Business plan development
- Training and professional development related to business
- Website design and hosting
- Initial marketing and advertising
- Professional fees (accountant, attorney consultations)
- Travel to investigate business opportunities

Example Startup Costs:

- Maryland LLC formation: \$100
- Attorney consultation for business structure: \$500
- Website design and domain: \$1,200

- Initial marketing materials (business cards, brochures): \$400
- Home staging training course: \$800
- Market research tools and subscriptions: \$300
- **Total:** \$3,300 (all immediately deductible)

Tax Savings: $\$3,300 - \$5,000 \times 27.5\% = \$907$ - \$1,375 in immediate tax savings.

Conservative Range: Assuming \$5,000-\$7,000 in first-year startup costs, expect \$1,375-\$1,925 in tax savings.

Timing Note: Startup costs must be incurred BEFORE business begins active operations. Keep detailed records of all pre-launch expenses including receipts, invoices, and business purpose documentation.

Summary of Total Tax Value

Core Strategies (No Side Business Required)

Strategy	Annual Tax Value
Backdoor Roth IRA	\$2,400
W-4 Optimization	\$7,000 (cash flow)
Tax-Loss Harvesting	\$800 - \$1,600
HSA Contribution (if eligible)	\$1,100 - \$1,600
Total Core Value	\$11,300 - \$12,600

Optional Enhancement Strategies (With Side Business)

Strategy	Annual Tax Value
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LLC + Accountable Plan	\$1,900 - \$2,700
Home Office Deduction	\$1,600 - \$2,400
Vehicle Mileage	\$2,400 - \$3,600
Solo 401(k)	\$6,200 - \$7,500
Section 179 Equipment	\$4,000 - \$6,000
Augusta Rule	\$2,800 - \$4,200
Startup Expense Deduction	\$1,350 - \$2,000
Total Enhancement Value	\$20,250 - \$28,400

Combined Annual Tax Optimization Value

Without Side Business: \$11,300 - \$12,600

With Side Business: \$31,550 - \$41,000

The side business creates an additional \$20,250 - \$28,400 in annual tax value, but requires 5-10 hours per week of active business operations to generate sufficient revenue and expenses for these deductions.

Primary Strategy: Bitcoin Accumulation for Retirement Catch-Up

Your primary wealth-building strategy centers on aggressive Bitcoin accumulation during your peak earning years. This approach is specifically designed for retirement catch-up after divorce, leveraging your available capital, strong W-2 income, and long-term investment horizon (15-25 years until retirement).

Why Bitcoin for Retirement Wealth Building

Asymmetric Risk/Reward Profile: Bitcoin offers potential for significant appreciation over multi-decade timeframes while maintaining limited downside (cannot lose more than initial investment). Historical performance shows 200%+ annual returns during adoption cycles, with periodic corrections of 70-80% followed by new all-time highs.

Inflation Hedge and Currency Debasement Protection: With fixed supply of 21 million coins and decreasing issuance rate (halving every 4 years), Bitcoin provides protection against monetary inflation and currency debasement. This is particularly relevant as federal debt approaches \$36 trillion and money supply expands.

Digital Scarcity Asset Class: Bitcoin represents the first provably scarce digital asset. As global wealth increasingly digitizes and younger generations inherit trillions in wealth, Bitcoin's fixed supply positions it as potential "digital gold" for 21st century wealth storage.

Institutional Adoption Accelerating: Major institutions (BlackRock, Fidelity, MicroStrategy) now hold significant Bitcoin positions. Spot Bitcoin ETFs launched in 2024, providing regulated access for traditional investors. This institutional adoption reduces systemic risks and increases long-term price stability.

Your Specific Bitcoin Allocation Strategy

Target Allocation: 70-75% of Deployment Capital

Initial Lump Sum: \$9,000 - \$12,750 (70-75% of \$10,000-\$25,000 available capital)

Ongoing DCA: \$400-\$500 per month automated purchases

W-4 Recovery: Additional \$580/month from tax withholding optimization

Total Year-One Accumulation: \$19,160 - \$25,510

Implementation: Lump Sum + Dollar-Cost Averaging Hybrid

Phase 1: Immediate Deployment (Week 1)

Deploy \$9,000-\$12,750 immediately through River Financial. This captures current Bitcoin price and begins accumulation without attempting to time market bottoms. Historical data shows that immediate lump sum deployment outperforms delayed entry in 65% of scenarios over 12+ month periods.

Rationale for Lump Sum: Bitcoin's long-term trajectory is up and to the right despite short-term volatility. Waiting for "better entry prices" often results in missing appreciation during extended bull markets. Your 15-25 year time horizon makes short-term price movements largely irrelevant.

Phase 2: Automated DCA (Ongoing)

Set up recurring \$400-\$500 purchases every Monday (or biweekly with paycheck). This averages your entry price over time and removes emotional decision-making from accumulation process.

Benefits of DCA:

- Reduces impact of buying at short-term tops
- Provides consistent accumulation regardless of price movements
- Creates disciplined savings habit (set and forget)
- Captures buying opportunities during corrections without active management

Phase 3: W-4 Recovery Acceleration (Week 2 Onward)

After adjusting W-4 withholding, redirect recovered \$580/month to additional Bitcoin purchases. This effectively doubles your DCA rate without requiring new savings from budget.

Combined Monthly Accumulation: \$400-\$500 (base DCA) + \$580 (W-4 recovery) = \$980-\$1,080 per month or ~\$11,760-\$12,960 additional Bitcoin annually.

Custody Strategy: Progressive Self-Custody

Stage 1: Exchange Custody (\$0 - \$50,000 Holdings)

Keep Bitcoin in River Financial's custody during accumulation phase. River uses institutional-grade cold storage with insurance coverage and multi-signature security. This is appropriate while learning about self-custody and during active DCA accumulation.

Benefits: Simple, secure, no risk of losing seed phrases, easy to continue DCA without managing multiple hardware wallets.

Stage 2: Hardware Wallet Self-Custody (\$50,000+ Holdings)

When holdings reach \$50,000 (approximately 18-24 months of accumulation), transition to self-custody using hardware wallet (Coldcard Q or Foundation Passport recommended).

Self-Custody Benefits:

- You control private keys (not your keys, not your coins)
- Eliminates counterparty risk from exchange hacks or insolvency
- Enables long-term cold storage for retirement wealth
- Provides estate planning capabilities (seed phrase inheritance)

Implementation Steps for Self-Custody Transition:

1. Research hardware wallet options (Coldcard for advanced users, Foundation for simplicity)
2. Purchase hardware wallet directly from manufacturer (\$100-\$200)
3. Generate seed phrase on hardware wallet (24 words)
4. Write seed phrase on metal plate backup (fireproof, waterproof)
5. Store seed phrase securely (home safe + offsite backup like safe deposit box)
6. Withdraw Bitcoin from River to hardware wallet address
7. Test recovery process with small amount before transferring full balance

Stage 3: Multi-Signature Advanced Security (\$200,000+ Holdings)

For holdings above \$200,000, consider multisig setup requiring 2-of-3 or 3-of-5 keys to spend. This provides ultimate security against theft, loss, or coercion. Recommend Casa or Unchained Capital for assisted multisig services.

Tax Treatment and Reporting

Purchase Phase: No immediate tax consequences. Purchases establish your cost basis for future tax calculations.

Holding Phase: No taxes owed while holding Bitcoin. This allows tax-free compounding of appreciation similar to traditional retirement accounts.

Selling/Spending Phase: Bitcoin sales trigger capital gains tax based on holding period.

- **Short-term capital gains** (held less than 1 year): Taxed as ordinary income at your marginal rate (22-24% federal + 5.5% Maryland = 27.5%)
- **Long-term capital gains** (held more than 1 year): Taxed at preferential rates (15% federal for most income levels + 5.5% Maryland = 20.5%)

Tax-Loss Harvesting Advantage: Bitcoin's volatility creates regular opportunities for tax-loss harvesting (see Tax Optimization section). Unlike stocks, Bitcoin has no wash sale rule, allowing immediate repurchase after selling at a loss.

Retirement Withdrawal Strategy: In retirement, you can strategically sell portions of Bitcoin holdings during low-income years to minimize capital gains taxes. With long-term capital gains rates, a couple filing jointly can realize \$94,050 in capital gains tax-free in 2025 (using standard deduction + 0% capital gains bracket).

Risk Management and Volatility Expectations

Historical Volatility Patterns: Bitcoin regularly experiences 70-80% drawdowns from all-time highs, typically during bear markets following halving cycles. These corrections are followed by new all-time highs in subsequent cycles.

Example Historical Drawdowns:

- 2017-2018: Peak \$19,800 → Bottom \$3,200 (-84%)
- 2021-2022: Peak \$69,000 → Bottom \$15,500 (-78%)
- 2025: Current cycle dynamics suggest continued volatility

Your Risk Tolerance Framework:

With 15-25 year time horizon until retirement, you can withstand significant short-term volatility. Historical data shows that holding Bitcoin for 4+ years has ALWAYS resulted in

positive returns regardless of entry price. Your DCA strategy further reduces timing risk by averaging entry prices over 24+ months.

Position Sizing Rationale: 70-75% allocation to Bitcoin may seem aggressive, but consider:

- You have \$250,000+ in traditional retirement accounts (diversified, stable)
- Military retirement pension provides income floor
- W-2 income of \$125,000 provides ongoing savings capacity
- No high-interest debt constraining financial flexibility
- Strong emergency fund already established

Given these factors, allocating deployment capital heavily to Bitcoin aligns with your stated goal of aggressive retirement catch-up and your ability to withstand volatility.

20-Year Accumulation Projection

Conservative Scenario (5% annual Bitcoin appreciation)

Year 1 contributions: \$19,160 - \$25,510

Ongoing annual contributions: \$11,760 - \$12,960 (DCA + W-4 recovery)

20-year projection at 5% growth: \$403,000 - \$449,000

This assumes Bitcoin performs worse than historical gold, effectively treating it as digital gold with modest appreciation.

Moderate Scenario (15% annual Bitcoin appreciation)

Same contribution schedule

20-year projection at 15% growth: \$1,470,000 - \$1,637,000

This assumes Bitcoin captures meaningful share of global store-of-value market, outperforming traditional assets but below historical averages.

Optimistic Scenario (25% annual Bitcoin appreciation)

Same contribution schedule

20-year projection at 25% growth: \$6,890,000 - \$7,667,000

This assumes Bitcoin continues adoption trajectory similar to internet/mobile technology, approaching status as global reserve asset.

Important Context: These projections are illustrative only and assume consistent contributions over 20 years. Bitcoin's actual performance will likely be non-linear with periods of rapid appreciation and extended consolidation. The wide range reflects uncertainty inherent in emerging asset class adoption.

Your Planning Framework: Plan for conservative scenario, hope for moderate scenario, and treat optimistic scenario as potential upside. Regardless of scenario, Bitcoin allocation positions you for potential wealth acceleration beyond traditional investment returns.

Why Bitcoin Instead of Other Investments

Comparison to Traditional 401(k): Your existing \$250,000+ in retirement accounts likely generates 7-10% annually in index funds. This provides stable, diversified growth. Bitcoin allocation adds asymmetric upside potential beyond traditional portfolio returns.

Comparison to Real Estate: Real estate (especially short-term rentals) offers cash flow and appreciation but requires active management, capital intensity, and local market exposure. Bitcoin provides global, liquid, 24/7 tradeable asset without property management burden.

Comparison to Individual Stocks: Stock picking requires extensive research, company analysis, and active monitoring. Bitcoin represents "bet on the entire digital economy" similar to how index funds bet on broad market growth.

Portfolio Construction Logic: Think of your overall wealth allocation as:

- **Foundation (70%):** Traditional retirement accounts (\$250K+ existing + ongoing contributions) in diversified index funds
- **Growth/Catch-up Layer (25%):** Bitcoin accumulation for asymmetric appreciation potential
- **Income/Diversification (5%):** STRF/STRC for Bitcoin-correlated income, accelerators for leveraged Bitcoin exposure

This structure provides stability through traditional assets while positioning for potential wealth acceleration through Bitcoin.

Investment Strategy & Portfolio Allocation

Your complete investment strategy extends beyond Bitcoin to include diversified retirement holdings, Bitcoin-correlated income products, and accelerator positions for amplified exposure. This section details each component and how they work together to achieve your retirement catch-up goals.

Overall Portfolio Framework

Deployment Capital Allocation (\$10,000 - \$25,000)

Category	%	Amount	Purpose
Bitcoin (Direct)	70-75%	\$7,000 - \$18,750	Core wealth accumulation, long-term holding
STRF/STRC	15-20%	\$1,500 - \$5,000	Bitcoin-correlated income, 10-12% distributions
Accelerators	5-10%	\$500 - \$2,500	Leveraged Bitcoin exposure, higher risk/reward

Component 1: Bitcoin (70-75% Allocation)

See Primary Strategy section for complete Bitcoin implementation details.

Key Points:

- Immediate lump sum: \$7,000 - \$18,750
- Ongoing DCA: \$400-\$500/month + \$580/month W-4 recovery
- Custody: River Financial → Hardware wallet at \$50K
- Time horizon: 15-25 years (hold through volatility)

Component 2: STRF and STRC (15-20% Allocation)

Allocation: \$1,500 - \$5,000

What They Are: STRF and STRC are Strategy's income-producing investment products that provide Bitcoin-correlated exposure with regular income distributions. Think of them as "Bitcoin-correlated preferred equity" - they move with Bitcoin prices but generate ongoing cash flow unlike Bitcoin itself.

Key Characteristics:

- **Income generation:** 10-12% annual distributions paid quarterly
- **Bitcoin correlation:** Returns track Bitcoin price movements with moderate leverage
- **Downside protection:** Less volatile than direct Bitcoin (approximately 0.7x Bitcoin volatility)
- **Liquidity:** Quarterly redemption windows with notice requirements

How They Fit Your Strategy:

As you accumulate Bitcoin holdings, STRF/STRC provide portfolio diversification while maintaining Bitcoin exposure theme. The income distributions create cash flow that can be reinvested into additional Bitcoin purchases or used for living expenses.

Example Annual Cash Flow:

- \$3,000 STRF/STRC investment $\times$ 11% distribution rate = \$330 annual income
- \$5,000 STRF/STRC investment $\times$ 11% distribution rate = \$550 annual income
- Distributions received quarterly: \$82.50 - \$137.50 per quarter

Reinvestment Strategy: Set distributions to automatically reinvest into additional Bitcoin purchases through River Financial. This creates a "Bitcoin accumulation flywheel" where income-producing assets fund additional Bitcoin accumulation.

Tax Treatment: Distributions are taxed as ordinary income in the year received. At 27.5% combined rate, expect to pay \$91 - \$151 in taxes annually on distributions. Consider holding STRF/STRC in tax-deferred accounts if possible to defer taxation.

When to Allocate: After initial Bitcoin lump sum is deployed and automated DCA is established (Week 2 of 30-day launch). This ensures Bitcoin core position is established before adding income layer.

Component 3: Bitcoin Accelerators (5-10% Allocation)

Allocation: \$500 - \$2,500

What They Are: Accelerators are publicly-traded companies that provide leveraged exposure to Bitcoin through business operations in Bitcoin mining, infrastructure, or treasury holdings. These are higher-risk, higher-reward positions that amplify Bitcoin price movements.

Recommended Accelerator Positions:

IREN (Iris Energy) - Bitcoin Mining Infrastructure

- **Business model:** Renewable energy-powered Bitcoin mining
- **Bitcoin exposure:** Revenue directly tied to Bitcoin price + mined Bitcoin holdings
- **Leverage factor:** 2-3x Bitcoin price movements
- **Risk factors:** Mining difficulty adjustments, energy costs, operational execution

MARA (Marathon Digital) - Pure-Play Bitcoin Mining

- **Business model:** Large-scale Bitcoin mining operations
- **Bitcoin exposure:** Largest public miner by hash rate
- **Leverage factor:** 2-4x Bitcoin price movements
- **Risk factors:** Mining economics, regulatory environment, capital structure

MSTR (MicroStrategy) - Bitcoin Treasury Company

- **Business model:** Corporate Bitcoin treasury strategy + software business
- **Bitcoin exposure:** Holds 150,000+ Bitcoin on balance sheet
- **Leverage factor:** 1.5-2x Bitcoin price movements due to Bitcoin holdings
- **Risk factors:** Debt leverage, Bitcoin treasury strategy execution

Allocation Strategy: Split \$500-\$2,500 equally across 2-3 accelerators or concentrate in single highest-conviction position. These are satellite positions, not core holdings.

Example Allocation:

- IREN: \$800 (40%)
- MARA: \$800 (40%)

- MSTR: \$400 (20%)
- **Total: \$2,000**

Expected Behavior: If Bitcoin appreciates 50% in a year, expect accelerators to appreciate 75-150% due to operational leverage and investor sentiment. Conversely, if Bitcoin declines 30%, accelerators may decline 45-90%.

Risk Management: Keep accelerator allocation small (5-10% max) due to higher volatility and company-specific risks. These are "lottery ticket" positions with asymmetric upside but meaningful downside risk.

Tax Treatment: Held in taxable brokerage account, subject to capital gains tax on sale. Favorable for tax-loss harvesting opportunities during Bitcoin corrections.

Complete Asset Allocation Summary

Existing Assets (Not Part of This Plan's Deployment)

Account	Balance	Purpose
401(k)/IRA Accounts	\$250,000+	Traditional retirement savings, diversified index funds
Roth IRA	\$8,800	Tax-free retirement growth (continue \$7K annual contributions)
Emergency Fund	4-6 months expenses	Cash reserves (not for investment)

New Deployment (This Plan's Focus)

Category	Initial	Ongoing Annual
Bitcoin (Direct)	\$7,000 - \$18,750	\$11,760 - \$12,960
STRF/STRC	\$1,500 - \$5,000	Distribution reinvestment

Accelerators	\$500 - \$2,500	Opportunistic additions
Total Deployment	\$9,000 - \$26,250	\$11,760 - \$12,960

Rebalancing and Portfolio Maintenance

Quarterly Review Process (15 minutes per quarter):

1. Log into River Financial and review Bitcoin balance and cost basis
2. Check STRF/STRC account for distribution credits and reinvestment
3. Review accelerator positions in brokerage account
4. Calculate total portfolio value across all accounts
5. Assess if rebalancing is needed (typically not required with DCA strategy)

Rebalancing Guidelines:

With DCA strategy, formal rebalancing is typically unnecessary. However, if Bitcoin appreciates dramatically (e.g., 300%+ gain bringing allocation to 90%+ of deployment portfolio), consider taking partial profits to rebalance back to 70-75% target.

Profit-Taking Strategy (If Bitcoin 3x or More):

- Sell 10-15% of Bitcoin holdings
- Allocate proceeds to STRF/STRC for income generation
- Continue DCA with regular contributions
- Pay long-term capital gains tax on profits (20.5% combined rate)

Don't Sell During Corrections: If Bitcoin declines 50-70% from peak, maintain DCA strategy and accumulate more Bitcoin at lower prices. Historical data shows these corrections precede new all-time highs.

Integration with Existing Retirement Accounts

Overall Wealth Allocation View:

When combining existing \$250,000+ retirement accounts with new Bitcoin-focused deployment:

- **Traditional retirement accounts:** ~80% of total wealth (stable, diversified foundation)
- **Bitcoin allocation:** ~15% of total wealth (growth/catch-up layer)
- **STRF/STRC + Accelerators:** ~5% of total wealth (income + leveraged exposure)

This creates balanced overall portfolio while concentrating NEW capital in highest-potential growth assets.

Continuing Traditional Retirement Contributions: Don't stop contributing to employer 401(k) if company match is available. Company match is free money (100% immediate return). Max out company match first, then deploy additional savings to Bitcoin strategy.

Year-One Value Breakdown

This section provides detailed analysis of the financial benefits you'll receive in the first 12 months of implementing this wealth plan. Values are broken into three categories: tax savings, cash flow improvements, and investment growth.

Base Plan (Bitcoin Focus, No Side Business)

Tax Strategies & Savings

Strategy	Annual Value	Notes
Backdoor Roth IRA	\$2,400	Future tax-free growth on \$7,000 contribution
Tax-Loss Harvesting	\$800 - \$1,600	Opportunistic during Bitcoin corrections
HSA Contribution (if eligible)	\$1,100 - \$1,600	Only if employer offers HDHP
Tax Subtotal	\$4,300 - \$5,600	

Cash Flow Improvements

Source	Annual Value	Notes
W-4 Optimization	\$7,000	Recovered tax overpayment, redirected to investments
Cash Flow Subtotal	\$7,000	

100

100

100

100

LLC + Accountable Plan	\$1,900 - \$2,700	\$7,000 - \$10,000 business expenses documented
Home Office Deduction	\$1,600 - \$2,400	Dedicated office space, exclusive business use
Vehicle Mileage	\$2,400 - \$3,600	3,600 - 4,800 business miles tracked annually
Solo 401(k)	\$6,200 - \$7,500	\$20,000+ net business profit
Section 179 Equipment	\$4,000 - \$6,000	\$15,000 - \$20,000 equipment purchases
Augusta Rule	\$2,800 - \$4,200	14-day home rental to business, documented
Startup Expenses	\$1,350 - \$2,000	Pre-launch business formation costs
Additional Tax Subtotal	\$20,250 - \$28,400	

Side Business Revenue

Revenue Source	Conservative	Aggressive
Home Staging Services	\$8,000 - \$12,000	\$15,000 - \$20,000
Airbnb Short-Term Rental (if property acquired)	N/A (building capital)	\$3,000 - \$5,000
Revenue Subtotal	\$8,000 - \$12,000	\$18,000 - \$25,000

Total Enhanced Plan Value

Category	Conservative	Aggressive
Base Plan Tax Strategies	\$4,300 - \$5,600	\$4,300 - \$5,600
Additional Business Tax Strategies	\$20,250 - \$28,400	\$20,250 - \$28,400
Cash Flow	\$7,000	\$7,000
Side Business Revenue (net after expenses)	\$6,000 - \$9,000	\$12,000 - \$18,000
Bitcoin Investment Growth	\$4,790 - \$6,378	\$4,790 - \$6,378
STRF/STRC Income	\$165 - \$550	\$165 - \$550
TOTAL ENHANCED VALUE	\$42,505 - \$55,928	\$48,505 - \$65,928

Comparison: Base vs. Enhanced Plans

Plan	Year-One Value Range	Time Commitment	Complexity
Base Plan	\$14,339 - \$19,528	3-5 hours (setup + monitoring)	Low (automated Bitcoin DCA)
Enhanced Plan	\$42,505 - \$65,928	5-10 hours/week (active business)	Medium-High (business operations + tax planning)
Difference	+\$28,166 - +\$46,400	+5-10 hours/week	Requires business operations

Decision Framework: Choose Base Plan if your priority is simplicity and passive wealth accumulation. Choose Enhanced Plan if you're willing to invest 5-10 hours weekly in side business operations for significantly higher tax savings and income generation.

Year-One Milestones and Checkpoints

Month 3 Checkpoint:

- Bitcoin holdings: \$12,000 - \$18,000 (initial lump sum + 2 months DCA)
- W-4 adjustment implemented: +\$1,740 recovered cash flow
- STRF/STRC allocated and generating distributions
- [Optional] LLC formed, first staging clients secured

Month 6 Checkpoint:

- Bitcoin holdings: \$15,000 - \$23,000 (+ 6 months DCA + W-4 recovery)
- Total deployed capital working: \$18,000 - \$31,000
- Backdoor Roth IRA completed for 2025
- [Optional] Side business revenue: \$3,000 - \$8,000 generated

Month 9 Checkpoint:

- Bitcoin holdings: \$18,000 - \$28,000 (+ 9 months DCA)
- Tax-loss harvesting opportunities reviewed
- Self-custody research completed (if approaching \$50K holdings)
- [Optional] Side business profitable, Solo 401(k) contributions planned

Month 12 Year-End Review:

- Total Bitcoin accumulated: \$19,160 - \$31,470 (initial + 12 months DCA + W-4 recovery)
- Investment growth realized: \$3,039 - \$6,928 (depending on Bitcoin performance)
- Total tax savings: \$4,300 - \$33,800 (depending on Base vs Enhanced)
- Net worth increase: \$14,339 - \$65,928
- [Optional] Side business established, generating \$8,000 - \$25,000 annual revenue

Timeline & Quarterly Roadmap

This section provides a quarter-by-quarter implementation guide for your first year, with key actions, milestones, and decision points.

Q1 2026 (Months 1-3): Foundation & Launch

Primary Focus: Deploy Capital & Establish Automation

Week 1-4: Complete 30-Day Launch Checklist

- Open River Financial account and deploy initial lump sum (\$7,000 - \$18,750)
- Set up automated Bitcoin DCA (\$400-\$500/month)
- Adjust W-4 withholding to recover \$7,000 annual overpayment
- Complete 2025 Backdoor Roth IRA contribution (\$7,000)
- [Optional] Form LLC and open business bank account

Month 2: Optimize and Expand

- Allocate STRF/STRC position (\$1,500 - \$5,000)
- Open brokerage account and purchase accelerators (\$500 - \$2,500)
- Verify W-4 adjustment reflected in paycheck
- Begin tracking all expenses (business if applicable)

Month 3: Stabilize and Monitor

- Review all automated systems (DCA, W-4 recovery, distributions)
- Calculate Q1 Bitcoin cost basis for tax records
- Assess portfolio performance and rebalancing needs
- [Optional] Generate first side business revenue (\$2,000 - \$5,000)

Q1 Success Metrics:

-  \$10,000 - \$20,000 deployed into Bitcoin

-  Automated DCA executing successfully
-  W-4 optimization generating extra \$580/month cash flow
-  All accounts opened and funded
-  [Optional] Side business generating first revenue

Q2 2026 (Months 4-6): Growth & Optimization

Primary Focus: Continue Accumulation & Maximize Tax Strategies

Month 4: Tax Planning

- Review Q1 tax position with CPA or tax software
- Calculate estimated tax payments if side business profitable
- Optimize business expense tracking and documentation
- Research HSA eligibility for 2026 enrollment

Month 5: Portfolio Review

- Quarterly portfolio review: calculate total holdings across all accounts
- Assess Bitcoin performance vs. cost basis
- Review STRF/STRC distribution reinvestment
- Check accelerator positions and rebalance if needed

Month 6: Mid-Year Assessment

- Calculate year-to-date tax savings realized
- Review side business P&L (if applicable)
- Plan Solo 401(k) contributions for year-end
- Adjust DCA amount if income changes or opportunities arise

Q2 Success Metrics:

-  Bitcoin holdings exceed \$15,000 - \$23,000
-  STRF/STRC generating quarterly distributions

-  Tax savings on track for year-end goals
-  [Optional] Side business revenue \$6,000 - \$12,000 YTD

Q3 2026 (Months 7-9): Scaling & Refinement

Primary Focus: Scale What's Working, Eliminate What's Not

Month 7: Business Scaling (If Applicable)

- Analyze which side business activities generate highest ROI
- Double down on profitable staging clients or Airbnb strategy
- Automate or outsource low-value business tasks
- Research additional tax strategies based on Q1-Q2 results

Month 8: Self-Custody Planning

- If Bitcoin holdings approaching \$50,000, research hardware wallets
- Order hardware wallet and practice setup with small amounts
- Establish secure seed phrase storage plan
- Plan custody transition timeline

Month 9: Year-End Tax Planning

- Meet with CPA to optimize Q4 tax strategy
- Calculate Solo 401(k) contribution capacity (if applicable)
- Plan equipment purchases for Section 179 deduction
- Review tax-loss harvesting opportunities

Q3 Success Metrics:

-  Bitcoin holdings exceed \$18,000 - \$28,000
-  Self-custody plan in place (if approaching \$50K)
-  Year-end tax strategy optimized
-  [Optional] Side business generating \$1,500 - \$3,000 monthly

Q4 2026 (Months 10-12): Harvest & Prepare for Year 2

Primary Focus: Maximize Year-End Tax Benefits & Set Up 2027

Month 10: Tax-Loss Harvesting

- Review all investment positions for losses
- Execute tax-loss harvesting on Bitcoin or accelerators if beneficial
- Immediately repurchase to maintain exposure
- Document trades for tax return preparation

Month 11: Year-End Business Deductions

- Make final equipment purchases for Section 179 deduction (by December 31)
- Execute Augusta Rule home rental days (if applicable)
- Maximize business expense deductions before year-end
- Contribute to Solo 401(k) (deadline December 31 for employee deferrals)

Month 12: Annual Review & 2027 Planning

- Calculate total year-one value achieved
- Review Bitcoin holdings, cost basis, and unrealized gains
- Plan 2027 Backdoor Roth IRA contribution (do in January 2027)
- Adjust DCA amount based on income changes or market conditions
- Set goals for Year 2: target Bitcoin accumulation, side business growth

Q4 Success Metrics:

-  Bitcoin holdings exceed \$19,160 - \$31,470 (full year accumulation)
-  All year-end tax strategies executed
-  Total tax savings: \$4,300 - \$33,800
-  Net worth increased by \$14,339 - \$65,928
-  2027 strategy planned and ready to execute

Years 2-5 Roadmap (High-Level)

Year 2 (2027): Scaling and Optimization

- Continue Bitcoin DCA: accumulate additional \$11,760 - \$12,960
- Transition to hardware wallet self-custody (if holdings exceed \$50K)
- Scale side business to \$20,000 - \$40,000 annual revenue (if pursuing)
- Max Solo 401(k) contributions: \$23,500 - \$31,000 (depending on profit)
- Consider Mega Backdoor Roth strategy if available through employer 401(k)

Year 3 (2028): Consolidation

- Bitcoin holdings should exceed \$50,000 - \$75,000 (depending on appreciation)
- Evaluate real estate investment if side business generates sufficient capital
- Optimize tax strategy based on 3 years of data
- Review estate planning and beneficiary designations

Years 4-5 (2029-2030): Maturation

- Bitcoin holdings potentially \$100,000 - \$250,000+ (depending on cycle performance)
- Consider multisig setup for enhanced security
- Evaluate side business: continue for tax benefits or exit for time savings
- Begin planning retirement withdrawal strategy (if approaching retirement age)

Key Decision Gates

Decision Gate 1 (Month 3): Side Business Go/No-Go

Evaluate: After 3 months, is side business generating sufficient revenue (\$2,000+) to justify time investment?

Option A: Continue and scale if profitable and enjoyable

Option B: Pause or discontinue if not meeting expectations, focus on Base Plan

Decision Gate 2 (Month 6): Self-Custody Timeline

Evaluate: Are Bitcoin holdings approaching \$50,000?

Action: Begin self-custody research and planning if yes, continue exchange custody if no

Decision Gate 3 (Month 12): Year 2 Strategy

Evaluate: Review full year performance across all strategies

Action: Double down on highest-ROI strategies, eliminate underperforming approaches, adjust DCA based on results

Action Plan: This Week & This Month

Based on your stated timeline of 3-6 days to take action, this section provides immediate next steps to begin implementation today.

This Week (Next 7 Days)

Day 1-2 (TODAY): Bitcoin Infrastructure

Time Required: 45 minutes

1. Visit River.com on computer or mobile device
2. Click "Sign Up" and create account with email and password
3. Complete identity verification:
 - Upload photo of driver's license (front and back)
 - Provide Social Security Number
 - Take selfie for identity confirmation
4. Link bank account for ACH transfers (provide routing and account number)
5. Set up two-factor authentication (2FA) using authenticator app
6. Verify email address

Expected Outcome: River account approved within 24-48 hours, ready to buy Bitcoin

Day 3-4: Initial Bitcoin Purchase & DCA Setup

Time Required: 30 minutes

1. Log into River account once approved
2. Navigate to "Buy Bitcoin" section
3. Enter lump sum amount: Choose between \$7,000 - \$18,750 based on your available capital and comfort level
4. Review fee (1.25% for purchases under \$1,000, 0.5% for larger purchases)

5. Confirm purchase and initiate ACH transfer from bank
6. Set up automated recurring purchase:
 - Navigate to "Recurring Buy" in River app
 - Select frequency: Weekly (every Monday recommended) or Biweekly (with paycheck)
 - Enter amount: \$400-\$500 per purchase
 - Confirm and activate

Expected Outcome: Bitcoin purchased within 3-5 business days, recurring purchases begin next week

Day 5-7: W-4 Adjustment & Cash Flow Optimization

Time Required: 45 minutes

1. Visit [IRS.gov/W4App](https://www.irs.gov/W4App) to access Tax Withholding Estimator
2. Enter your information:
 - Filing status: (Likely Single or Head of Household post-divorce)
 - W-2 income: \$125,000 estimated
 - Current withholding from most recent paystub
 - Any anticipated deductions (standard deduction, dependent deductions)
3. Review recommendation to adjust withholding
4. Complete new Form W-4 (available on IRS website)
5. Submit to your employer:
 - Check if employer has online portal for W-4 submission
 - If not, print, sign, and deliver to HR/payroll department
6. Set calendar reminder to check next paycheck and verify increased take-home pay

Expected Outcome: Additional \$580/month cash flow beginning within 1-2 pay periods

This Month (Weeks 2-4)

Week 2: Investment Diversification

Time Required: 2-3 hours

1. STRF/STRC Allocation (if pursuing):

- Visit Strategy's website and review STRF/STRC product information
- Contact Strategy advisor to schedule consultation call
- Complete account opening documents
- Wire \$1,500 - \$5,000 to STRF/STRC account
- Set distributions to auto-reinvest or transfer to River for Bitcoin purchases

2. Accelerator Positions (if pursuing):

- Open brokerage account (Fidelity, Vanguard, Schwab - all offer commission-free trading)
- Research IREN, MARA, MSTR stock positions
- Purchase \$500 - \$2,500 total split across 2-3 positions
- Set up alerts for significant price movements

Week 3: Retirement Account Optimization

Time Required: 1-2 hours

1. 2025 Backdoor Roth IRA:

- Log into brokerage where your Roth IRA is held
- Open traditional IRA if not already open (same institution as Roth IRA)
- Transfer \$7,000 from bank to traditional IRA
- Immediately convert \$7,000 from traditional IRA to Roth IRA (typically online button "Convert to Roth")
- Set calendar reminder for April 2026 to file Form 8606 with tax return

2. HSA Review (if eligible):

- Contact employer HR to verify if health plan qualifies as HSA-eligible HDHP
- If yes, request HSA enrollment materials

- Open HSA and set up payroll deduction for maximum contribution (\$4,300 self-only or \$8,550 family)

Week 4: [OPTIONAL] Side Business Launch

Time Required: 4-6 hours (only if pursuing Enhanced Plan)

1. LLC Formation:

- Visit Maryland SDAT website (BusinessExpress.Maryland.gov)
- File Articles of Organization online (\$100 fee)
- Choose LLC name (check availability first)
- Designate registered agent (can be yourself)
- Wait 1-3 business days for approval

2. EIN Application:

- Visit IRS.gov and navigate to EIN application
- Complete online form (takes 10 minutes)
- Receive EIN immediately upon submission

3. Business Bank Account:

- Research banks offering free business checking (Chase, Bank of America, local credit unions)
- Gather required documents: LLC formation certificate, EIN letter, photo ID
- Open business bank account online or in-branch
- Order business checks and debit card

4. First Revenue Actions:

- Contact 5-10 local real estate agents about staging services
- Create simple LinkedIn or Facebook business page
- Set pricing structure for services
- Secure first client meeting or property viewing

Quick Reference: First 30 Days Priority Checklist

Priority	Action	Timeline	Status
 CRITICAL	Open River account and buy Bitcoin	Days 1-4	☐ Not Started
 CRITICAL	Set up automated Bitcoin DCA	Days 3-4	☐ Not Started
 CRITICAL	Adjust W-4 withholding	Days 5-7	☐ Not Started
 HIGH	Complete 2025 Backdoor Roth IRA	Week 3	☐ Not Started
 HIGH	Allocate STRF/STRC (if pursuing)	Week 2	☐ Not Started
 MEDIUM	Purchase accelerator positions	Week 2	☐ Not Started
 MEDIUM	Review HSA eligibility	Week 3	☐ Not Started
 OPTIONAL	Form LLC for side business	Week 4	☐ Not Pursuing / ☐ In Progress

Accountability and Progress Tracking

Weekly Check-In Questions:

1. Did automated Bitcoin purchase execute this week?
2. Is W-4 adjustment showing in paychecks yet?
3. Have I documented any potential business expenses (if pursuing side hustle)?
4. Am I on track with my 30-day launch timeline?

Month-End Review:

- Total Bitcoin accumulated this month: \$_____
- Additional cash flow from W-4 optimization: \$_____
- STRF/STRC allocated: \$_____
- Side business revenue (if applicable): \$_____

- Next month priorities: _____

Professional Team Coordination

Successful wealth plan implementation requires coordination with key professional advisors. This section identifies which professionals you need, when to engage them, and what to discuss.

Certified Public Accountant (CPA) or Enrolled Agent (EA)

When to Engage: Before filing 2025 tax return (ideally Q4 2025 or Q1 2026)

Purpose: Optimize tax strategy, ensure compliance with all deductions, plan quarterly estimated taxes if side business is profitable

What to Discuss:

- Review all business expense deductions for legitimacy and documentation requirements
- Confirm Solo 401(k) contribution calculations (if applicable)
- Plan estimated tax payments to avoid penalties
- Discuss Augusta Rule implementation and documentation standards
- Review cryptocurrency tax reporting requirements (cost basis tracking, capital gains)
- Optimize timing of deductions and income recognition

Cost Expectation: \$300 - \$800 for tax return preparation with Schedule C (business), additional \$200-\$400 for tax planning consultation

Finding a CPA: Look for CPA with small business and cryptocurrency experience. Ask potential CPAs: "Do you have clients with Bitcoin holdings and side businesses? How do you handle crypto tax reporting?"

Fee-Only Financial Advisor (Optional)

When to Engage: When Bitcoin holdings exceed \$100,000 or when planning retirement withdrawal strategies

Purpose: Comprehensive financial planning, retirement projections, estate planning coordination

What to Discuss:

- Overall asset allocation across all accounts (Bitcoin, retirement accounts, real estate)
- Retirement income projections and withdrawal strategies
- Tax-efficient withdrawal sequencing (which accounts to draw from first)
- Estate planning and beneficiary designation optimization
- Insurance needs assessment (life, disability, umbrella)

Cost Expectation: \$2,000 - \$5,000 for comprehensive financial plan, or 0.5-1% AUM for ongoing advisory services

Important: Choose fee-only advisor (paid by you, not commissions) who understands Bitcoin and won't try to talk you out of allocation. Ask: "What percentage of your clients hold Bitcoin? How do you incorporate it into financial plans?"

Estate Planning Attorney (When Bitcoin Holdings Exceed \$50,000)

When to Engage: When transitioning to self-custody with hardware wallet

Purpose: Ensure Bitcoin holdings can be inherited, create clear instructions for accessing digital assets, update will/trust

What to Discuss:

- Digital asset provisions in will or trust
- Seed phrase inheritance instructions (without compromising security)
- Multi-signature setup for estate planning purposes
- Power of attorney for digital asset management
- Beneficiary designations on retirement accounts

Cost Expectation: \$1,500 - \$3,500 for will with digital asset provisions, \$3,000 - \$8,000 for living trust

Insurance Agent/Broker (Review Existing Coverage)

When to Engage: Annually or when life circumstances change

Purpose: Ensure adequate protection for growing net worth

Coverage to Review:

- **Life Insurance:** If you have dependents, ensure coverage is sufficient (typically 10x annual income)
- **Disability Insurance:** You already have military disability pay, review if additional coverage needed
- **Umbrella Liability:** As net worth grows, consider \$1-2M umbrella policy (\$200-400/year)
- **Business Insurance (if side hustle):** General liability for staging business, landlord policy if purchasing rental property

Cost Expectation: Consultation usually free, insurance premiums vary by coverage

Real Estate Agent (If Pursuing Airbnb Strategy)

When to Engage: When ready to purchase short-term rental property (6-12 months after side business launch)

Purpose: Identify investment properties with strong short-term rental potential

What to Discuss:

- Local regulations on short-term rentals in Maryland
- Target neighborhoods with high Airbnb demand
- Property analysis: purchase price, potential rental income, expenses
- Financing options for investment properties (typically 20-25% down)

Cost Expectation: Agent paid from seller proceeds (typically 5-6% of purchase price split between buyer and seller agents), no direct cost to you

Coordination Timeline

Professional	Engagement Timeline	Annual/One-Time
CPA/EA	Q4 2025 for tax planning, Q1 2026 for tax return	Annual
Financial Advisor	When Bitcoin holdings exceed \$100,000	Annual or ongoing

Estate Attorney	When Bitcoin holdings exceed \$50,000	One-time (update every 5 years)
Insurance Agent	Annual review	Annual
Real Estate Agent	When ready to purchase rental property	One-time per property

Professional Fees Budget

Year 1 Professional Costs (Base Plan):

- CPA for tax return: \$300 - \$800
- Tax planning consultation: \$200 - \$400
- **Total Year 1:** \$500 - \$1,200

Year 1 Professional Costs (Enhanced Plan with Side Business):

- CPA for business tax return: \$800 - \$1,500
- Tax planning consultation: \$400 - \$800
- Business formation attorney (optional): \$500 - \$1,000
- **Total Year 1:** \$1,700 - \$3,300

Future Years (When Holdings Exceed \$50,000):

- Estate planning attorney: \$1,500 - \$3,500 (one-time)
- Financial advisor (if using): \$2,000 - \$5,000 (comprehensive plan)

Key Milestones & Decision Gates

This section identifies critical milestones and decision points that will determine your wealth plan's trajectory over the next 1-5 years.

Milestone 1: \$25,000 Total Bitcoin Holdings

Expected Timeline: 6-12 months

Significance: This represents successful completion of initial deployment and first year of DCA accumulation. At this level, Bitcoin allocation becomes meaningful component of overall net worth.

Actions at This Milestone:

- Celebrate progress - you've deployed significant capital into asymmetric asset
- Review performance vs. initial cost basis
- Confirm automated DCA still executing properly
- Begin researching hardware wallet options for future self-custody
- Document cost basis for all purchases (essential for tax planning)

Milestone 2: \$50,000 Total Bitcoin Holdings

Expected Timeline: 18-30 months (depending on Bitcoin appreciation)

Significance: Security becomes paramount. At this level, self-custody is strongly recommended to eliminate counterparty risk from exchange.

Actions at This Milestone:

- **CRITICAL: Transition to self-custody**
 - Purchase hardware wallet (Coldcard Q or Foundation Passport)
 - Generate seed phrase on hardware wallet
 - Create metal backup of seed phrase
 - Establish secure storage: home safe + offsite backup
 - Test wallet with small amount first

- Withdraw Bitcoin from River to hardware wallet
- Engage estate planning attorney for digital asset provisions
- Review insurance coverage (umbrella policy recommended)
- Document custody transition for tax records

Decision Gate: Self-Custody Timing

Question: Am I comfortable managing my own private keys and seed phrase security?

Option A: Yes → Proceed with hardware wallet transition

Option B: No → Continue with River custody but plan education timeline (reading, practice with small amounts)

Option C: Unsure → Consider collaborative custody solution like Casa (multisig with support)

Milestone 3: \$100,000 Total Bitcoin Holdings

Expected Timeline: 3-5 years (depending on Bitcoin appreciation and ongoing contributions)

Significance: Major wealth milestone. Bitcoin allocation now represents substantial retirement asset. Professional financial planning becomes valuable.

Actions at This Milestone:

- Engage fee-only financial advisor for comprehensive wealth plan
- Review overall asset allocation across ALL accounts (including \$250K+ existing retirement)
- Consider partial profit-taking if Bitcoin appreciated dramatically (e.g., 400%+ gain)
- Upgrade to multisig custody for additional security
- Review estate plan and beneficiary designations
- Update insurance coverage (life insurance, umbrella liability)

Decision Gate: Profit-Taking Strategy

Question: Has Bitcoin appreciated 300%+ from my cost basis?

Option A: Yes → Consider selling 10-15% to rebalance and realize some gains. Pay long-term capital gains tax (20.5%). Reinvest proceeds into STRF/STRC for income.

Option B: No → Continue HODLing and accumulating. Bitcoin strategy is long-term (15-25 years), no need to sell during normal growth.

Milestone 4: Side Business Generating \$20,000+ Annual Profit

Expected Timeline: 12-24 months (if pursuing Enhanced Plan)

Significance: Side business now meaningfully contributes to wealth accumulation and tax optimization. Solo 401(k) becomes powerful tool.

Actions at This Milestone:

- Max out Solo 401(k) contributions: \$23,500 employee + 20% profit sharing
- Evaluate: Is side business worth time investment relative to tax benefits?
- Consider hiring help or automating tasks to reduce time burden
- Review whether to scale business further or maintain at current level
- Assess real estate investment opportunities (Airbnb property purchase)

Decision Gate: Side Business Scale or Maintain

Question: Is side business generating tax savings exceeding \$20,000 annually with reasonable time investment (5-10 hours/week)?

Option A: Yes and Enjoying It → Scale business to \$40,000-\$60,000 annual revenue, hire help, systemize operations

Option B: Yes but Time-Constrained → Maintain at current level, optimize efficiency, focus on highest-ROI clients

Option C: No or Not Worth Time → Wind down side business, focus on Base Plan Bitcoin accumulation, redirect time to career advancement or quality of life

Milestone 5: Total Net Worth Exceeds \$500,000

Expected Timeline: 5-8 years (combining existing \$250K+ retirement + Bitcoin appreciation + ongoing contributions)

Significance: You've successfully executed retirement catch-up strategy. Wealth compounding accelerates from this point.

Actions at This Milestone:

- Comprehensive wealth review with financial advisor
- Tax optimization at higher wealth level (Qualified Opportunity Zones, Donor-Advised Funds, etc.)
- Estate planning update (potential trust structure)
- Review charitable giving strategy if desired
- Consider real estate diversification if not already invested
- Plan retirement timeline and withdrawal strategy

Key Performance Indicators (KPIs) to Track

KPI	Target (Year 1)	Target (Year 5)
Total Bitcoin Holdings	\$19,160 - \$31,470	\$75,000 - \$250,000+ (depending on appreciation)
Annual Tax Savings	\$4,300 - \$41,000	\$10,000 - \$50,000+
Total Net Worth	\$275,000 - \$310,000	\$400,000 - \$700,000+

Side Business Revenue (if applicable)	\$8,000 - \$25,000	\$20,000 - \$60,000
Retirement Account Balance	\$260,000 - \$280,000	\$350,000 - \$450,000

Annual Review Process

Every December (or January), conduct comprehensive annual review:

1. **Calculate total year-end net worth** across all accounts
2. **Document Bitcoin cost basis** and unrealized gains/losses
3. **Review tax savings achieved** vs. projections
4. **Assess side business profitability** and time investment (if applicable)
5. **Evaluate which strategies delivered highest ROI** and adjust accordingly
6. **Set goals for next year:** Bitcoin accumulation target, income target, net worth target
7. **Meet with CPA** to optimize year-end tax strategy

Appendices

Appendix A: Glossary of Terms

Term	Definition
Backdoor Roth IRA	Strategy for high earners to contribute to Roth IRA by contributing to traditional IRA and immediately converting to Roth, bypassing income limits
Cost Basis	Original purchase price of investment, used to calculate capital gains/losses when selling
DCA (Dollar-Cost Averaging)	Investment strategy of buying fixed dollar amount at regular intervals, reducing timing risk
Hardware Wallet	Physical device that stores Bitcoin private keys offline, providing maximum security
HSA (Health Savings Account)	Triple tax-advantaged account for medical expenses, available with high-deductible health plans
Self-Custody	Holding Bitcoin private keys yourself rather than keeping coins on exchange
Seed Phrase	12-24 word backup phrase that allows recovery of Bitcoin wallet if hardware lost
Solo 401(k)	Retirement account for self-employed individuals with no employees (except spouse), allowing both employee and employer contributions
Tax-Loss Harvesting	Selling investments at loss to offset capital gains or reduce ordinary income by up to \$3,000 annually

Appendix B: Important Resources and Links

Bitcoin Platforms:

- River Financial: [River.com](https://river.com) (recommended Bitcoin exchange and custody)
- Hardware Wallets: [Foundation.xyz](https://foundation.xyz) (Passport), [Coldcard.com](https://coldcard.com) (Q or Mk4)

Tax Resources:

- IRS W-4 Estimator: [IRS.gov/W4App](https://irs.gov/W4App)
- IRS Form 8606 (Backdoor Roth reporting): [IRS.gov/forms-pubs](https://irs.gov/forms-pubs)
- Maryland LLC Formation: [BusinessExpress.Maryland.gov](https://businessexpress.maryland.gov)

Investment Platforms:

- Strategy STRF/STRC: Contact Strategy advisor directly
- Brokerage (for accelerators): [Fidelity.com](https://fidelity.com), [Vanguard.com](https://vanguard.com), [Schwab.com](https://schwab.com)

Education Resources:

- Bitcoin Security: [Bitcoin.org/en/secure-your-wallet](https://bitcoin.org/en/secure-your-wallet)
- Self-Custody Guide: [River.com/learn](https://river.com/learn)
- Solo 401(k) Guide: [IRS.gov/retirement-plans/one-participant-401k-plans](https://irs.gov/retirement-plans/one-participant-401k-plans)

Appendix C: Document Retention Checklist

Keep These Records for Tax Purposes:

-  All Bitcoin purchase confirmations (date, amount, price, cost basis)
-  River account statements (monthly or quarterly)
-  STRF/STRC distribution statements
-  Form 8606 for Backdoor Roth IRA conversions (keep permanently)
-  W-4 forms submitted to employer
-  HSA contribution records and medical expense receipts (keep permanently)
-  [If side business] All business expense receipts and invoices
-  [If side business] Mileage logs with date, destination, purpose, miles
-  [If side business] Home office measurement and calculation documentation

-  [If side business] Equipment purchase receipts for Section 179
-  [If side business] Augusta Rule rental agreement and documentation

Retention Period: Keep all tax-related documents for at least 7 years. Keep retirement account records (401(k), IRA, HSA) permanently.

Disclaimers

General Financial Disclaimer

This wealth plan is provided for informational and educational purposes only. It does not constitute professional financial, investment, tax, or legal advice. The strategies outlined in this plan should be reviewed with qualified professionals before implementation. Every individual's financial situation is unique, and what works for one person may not be suitable for another.

Investment Risk Disclosure

All investments carry risk, including potential loss of principal. Bitcoin and cryptocurrency investments are particularly volatile and speculative. Bitcoin's price can fluctuate dramatically in short periods, and you could lose a substantial portion or all of your investment. Historical performance is not indicative of future results. Do not invest more than you can afford to lose.

The projections and scenarios presented in this plan are hypothetical and based on various assumptions about future Bitcoin appreciation, tax rates, and income levels. Actual results may differ materially from these projections. Bitcoin's value could appreciate significantly, decline substantially, or remain flat over the investment horizon.

Bitcoin-Specific Risks

Bitcoin investment involves unique risks including: regulatory changes that could restrict or ban Bitcoin ownership, technological vulnerabilities, loss of private keys resulting in permanent loss of funds, exchange hacks or insolvency, extreme price volatility, and potential complete loss of value. Bitcoin is not insured by FDIC or SIPC, and there is no government backstop for losses.

Tax Advice Disclaimer

The tax strategies discussed in this plan are general in nature and may not apply to your specific situation. Tax laws are complex, subject to change, and vary by jurisdiction. The tax savings estimates are approximate and based on assumptions

about your income, filing status, and tax rates. You should consult with a licensed CPA, Enrolled Agent, or tax attorney before implementing any tax strategy.

The IRS scrutinizes aggressive tax deductions, particularly for home-based businesses. All business expense deductions must be ordinary, necessary, and properly documented. Improper use of tax strategies like Augusta Rule, Section 179 deductions, or Accountable Plans could result in IRS audits, disallowed deductions, penalties, and interest.

Side Business Disclaimer

Starting and operating a side business involves risk, requires significant time and effort, and may not be profitable. The revenue projections for home staging and Airbnb services are estimates based on industry averages and may not reflect actual results in your market. Business success depends on many factors including market demand, competition, marketing effectiveness, customer service, and operational execution.

Professional Advice Requirement

Before implementing any strategy in this plan, you should consult with appropriate professionals including:

- Licensed CPA or Enrolled Agent for tax planning and compliance
- Fee-only Registered Investment Advisor for investment advice (if seeking personalized recommendations)
- Estate planning attorney for will, trust, and digital asset planning
- Insurance professional for coverage adequacy review

No Guarantee of Results

This plan provides a framework and strategies, but does not guarantee any specific financial outcome. The "year-one value" projections are estimates based on assumptions and may not be achieved. Actual results will vary based on Bitcoin price performance, your income level, tax law changes, business profitability (if applicable), time committed, and numerous other factors.

Self-Custody Responsibility

If you choose to hold Bitcoin in self-custody using a hardware wallet, you assume complete responsibility for securing your seed phrase and private keys. Loss of seed

phrase or private keys results in permanent, irreversible loss of Bitcoin. There is no customer service to recover lost funds. You must educate yourself on proper security practices before taking custody of significant Bitcoin holdings.

Regulatory and Legal Compliance

You are responsible for complying with all applicable federal, state, and local laws including tax reporting, business licensing, insurance requirements, and securities regulations. Cryptocurrency regulations are evolving, and future regulatory changes could impact the strategies outlined in this plan.

Information Currency

This plan was prepared in November 2025 using tax laws, contribution limits, and information current as of that date. Tax laws, IRS rules, and contribution limits change annually. You must verify all limits, rates, and regulations are current before implementation.

The specific tax limits mentioned (2025 401(k) limit \$23,500, IRA limit \$7,000, HSA limits, etc.) are accurate as of November 2025 but will change in future years. Always verify current year limits with IRS.gov before making contributions.

Prepared For: Sara-Hanna Harstrom

Date Prepared: November 2025

Plan Version: 1.0

This comprehensive wealth plan was prepared based on the financial information provided and represents a strategic roadmap for achieving your retirement catch-up and wealth accumulation goals. The plan should be reviewed and updated annually or when significant life changes occur. Success requires consistent execution of the strategies outlined, particularly the automated Bitcoin accumulation and tax optimization approaches.

Your commitment to taking action within 3-6 days positions you well for immediate implementation. Focus first on the critical actions (Bitcoin purchase, DCA setup, W-4 adjustment) before expanding to optional strategies. The Base Plan alone provides meaningful value, and the Enhanced Plan with side business should only be pursued if you're genuinely interested in the business activities and have time available.

For questions, updates, or annual reviews, please maintain records of all account statements, tax documents, and transaction confirmations.